

Tempus AI, Inc.

TEM NASDAQ

Hold	\$57.00 ▲ 1.91%	12M Price Target \$62.00	52-Week Range \$41.73 – \$104.32	Market Cap \$10.24B
------	-----------------	-----------------------------	-------------------------------------	------------------------

TEM: Cathie's Buying, Insiders Selling — Who's Right?

WHAT HAPPENED

- TEM bounced 1.9% to \$57 on very light volume (855K vs usual 4M+) — that's not conviction buying, that's just a quiet summer session drifting up after Monday's dip. The real story: Cathie Wood's ARK keeps loading up (now 5.5% owner) while the CEO of the Data unit dumped ~\$1.9M worth of stock last Wednesday. Classic tug-of-war.
- Motley Fool amplifying the Cathie angle brings retail eyeballs, which explains the small pop without institutional flow behind it.

WHY IT MATTERS

The insider cluster-selling right before this bounce is the tell — when four separate sales stack on one day from a senior exec at \$56-59, that's someone who thinks the stock is fairly-to-fully valued in the near term. But zoom out: TEM is sitting at just 24% of its 52-week range (\$42-\$104), meaning it's been beaten down hard and Cathie is buying the dip on the thesis that AI + healthcare is a decade-long story. The agentic oncology platform launch on July 6 matters because it moves TEM from "we sell data" to "we sell workflow tools" — that's a higher-margin, stickier business model if it works. What to watch: whether that neutral options flow tilts bullish as we approach the August earnings window — right now the market genuinely doesn't know which way this breaks.

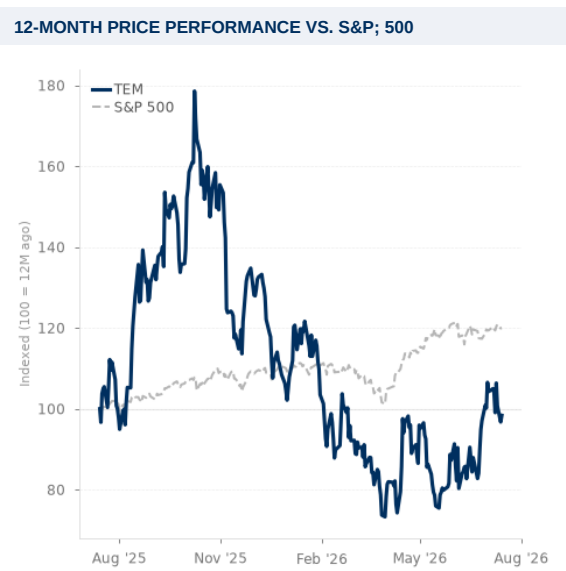
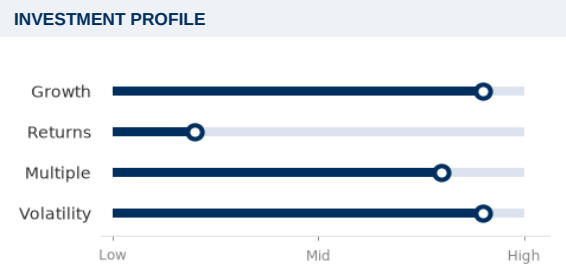
POLICY & POLITICAL WATCH

The big overhang for TEM is CMS (Medicare) reimbursement policy on AI-enabled diagnostics — there's ongoing debate in Congress about whether AI algorithms qualify for standalone reimbursement codes, and if that goes TEM's way, it's a massive revenue unlock because hospitals only buy tools they can bill for. Separately, the Trump administration's AI executive order framework has been broadly pro-deployment (light-touch regulation), which helps TEM roll out faster than in Europe. The wildcard: if the Senate revives any version of the health data privacy bill (similar to the old ADPPA), TEM's data-licensing business — which is a huge chunk of revenue — faces real compliance costs.

IS IT EXPENSIVE?

At \$10.2B market cap on ~\$715M expected 2026 revenue, you're paying about \$14 for every \$1 of sales — that's rich for a company still losing money, but not insane for something growing 30%+ in a hot theme. Compare to Veeva (VEEV) at ~15x sales but actually profitable, or Schrödinger (SDGR) at ~8x sales with slower growth. TEM's premium is really a bet that the AI narrative and the government/hospital spending cycle bail out the fundamentals before cash runs low.

Key Data	
Price (USD)	\$57.00
12M Price Target	\$62.00
Upside / (Downside)	+8.8%
Market Cap	\$10.24B
FY2026E Revenue	\$715M
FY2027E Revenue	\$965M
FY2026E EPS	(\$1.95)
FY2027E EPS	(\$1.20)
Fwd P/E	N/M



PRICE OUTLOOK — SCENARIO TARGETS BY TIMEFRAME

TIMEFRAME	BULL CASE	BASE CASE	BEAR CASE
1 Month	\$65.00	\$57.00	\$48.00
6 Months	\$78.00	\$62.00	\$42.00
1 Year	\$95.00	\$68.00	\$38.00
2 Years	\$130.00	\$85.00	\$32.00
5 Years	\$220.00	\$125.00	\$25.00
10 Years	\$420.00	\$210.00	\$18.00

WHAT'S MOVING IN THE SECTOR

HEATING UP: Financials (+1.26%) leading on rate expectations, Utilities catching an AI-power bid (data centers need juice), Energy still riding a strong 5-day run (+4.35%) on geopolitical premium

COOLING OFF: Industrials and Materials both showing 5-day weakness, suggesting the "old economy" reflation trade is losing steam

ROTATION WATCH: Money is rotating toward defensives (Utilities) and rate-sensitives (Financials) rather than pure growth — Tech is only up 0.23% today, meaning TEM's bounce is stock-specific, not sector-driven. That's actually a mild yellow flag.

RELATED PLAY: If the AI-healthcare theme heats up, look at the picks-and-shovels — Veeva (VEEV) for clinical software, or Guardant Health (GH) as a more established liquid biopsy peer that would move on the same policy catalysts.

WHO'S WINNING IN THIS SPACE?

- CDNA (CareDx): Just acquired Naveris on July 2 — consolidating specialty oncology, which validates that this is where the M&A money is going
- VEEV (Veeva Systems): The profitable, boring version of the healthtech AI trade — winning because investors want AI exposure without the cash burn

TEM CONTEXT: TEM is lagging its peer group meaningfully — it's at 24% of its 52-week range while VEEV and others are closer to highs. That tells you the market is discriminating: it wants AI healthcare exposure but is punishing the unprofitable ones. TEM needs a fundamental catalyst (earnings beat, contract win, or reimbursement clarity) to close that gap.

WHAT I'D DO WITH THIS STOCK

6/10 Conviction Score

CONVICTION: 6/10 — Cautiously optimistic; the story is real but the setup (insider selling + light volume bounce) doesn't scream "back up the truck"

POSITION SIZE: 2-4% of portfolio — this is volatile enough that you don't want it moving your whole book, but the asymmetric upside deserves a real slot

ENTRY POINTS: Add on pullbacks to \$48-52; if it breaks \$45, that's where Cathie's cost basis lives and it becomes a strong bounce zone

TIME HORIZON: 12-24 months — the catalyst is either the next 1-2 earnings prints proving growth, or a positive CMS reimbursement decision on AI diagnostics

WHEN TO BAIL: Revenue growth slows below 25% YoY, they announce a dilutive secondary offering, or Medicare signals negative on AI diagnostic reimbursement

HEDGING: Simple approach — keep the position small enough that a 40% drawdown doesn't hurt. If you want to get fancier, own a little of a profitable peer like VEEV alongside it — if healthtech AI works, they both go up; if TEM specifically stumbles, VEEV cushions you.